

FOUNDATIONS OF FINANCE

QUIZ 3 (variant 1)

Time: 30 minutes

Max. Marks 10

Name	Roll Number
------	-------------

Instructions to candidates:

- Write only the correct answer in the space provided in the question paper. The working sheet given to you is for your own calculations.
- Return both the question paper and the working sheet after the quiz. Only answers written in the appropriate places will be evaluated.

Page | 1

1. Selected items from the balance sheet and income statement of Company XYZ Ltd. are given below. Calculate the indicated ratios (given in the response sheet). (1x6=6 marks)

Balance sheet of XYZ Ltd. as on March 31, 2025 (in crores)				Income Statement of XYZ Ltd. year ended Mar 31, 2025 (in crores)	
Cash	78	Accts Payable	45	Sales	795
Receivables	66	Notes Payable	45	Cost of Goods Sold	660
Inventories	159	Other current liabilities	21	Depreciation	12
				Selling Expenses	73.5
Net fixed assets	147	Long term debt	24	EBIT	49.5
		Common Equity	315	EBT	45
				Net Income	27

Ans 1

		Value (2 decimal places)
A	Current Ratio	
B	Quick Ratio	
C	Total Assets Turnover	
D	Net Profit Margin (%)	
E	ROA (%)	
F	ROE (%)	

FOUNDATIONS OF FINANCE

QUIZ 3 (variant 1)

Choose the correct alternative (only 1) [2x2 = 4 marks]

2. Following information (Rs. crores) about three companies operating in the same industry:

Company	Annual Depreciation Expense	Accumulated Depreciation
1	10	60
2	27	81
3	30	150
4	25	200

Page | 2

Although the companies have different levels of sales and assets, they are all experiencing sales growth at about the same rate and use the same type of equipment in the manufacturing process. All three companies also use the same depreciation method. Which company is *least likely* to require major capital expenditures in the near future? Company:

- A. 1.
- B. 2.
- C. 3.
- D. 4.

3. The following information (Rs. crores) for two companies operating in the same industry during the same time period is available:

	Company A	Company B
Net Sales	120	300
Total Assets	70	140
Total Liabilities	25	40

If both companies achieve a return on equity of 15% for the period, which of the following statements is *most likely* correct? Compared to Company B, Company A has a:

- A. higher net profit margin.
- B. higher total asset turnover.
- C. lower financial leverage multiplier
- D. higher quick ratio

Question No.	Answer (write the correct alternative)
2	
3	